

The Bucket, The Tap, And The Number You Need Only Once

FIRE stands for financial independence, retire early. It is one multiplication and one uncomfortable fact about spending. The version worth your attention is not the one that gets you out at 35, but the one where a single number, funded once in your twenties, means you never have to save again.

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01 The number

Picture a bucket you fill while you work, with a tap you open when you stop.

- Each year you draw one tap's worth. Rain (investment returns) refills some of it.
- **Financial independence is the depth at which the rain keeps up with the tap.** The bucket never empties, so you never carry water again.
- The depth has a number. Take what you spend in a year and **multiply by 25**.
- That comes from the **4 percent rule** (withdraw 4 percent the first year, then adjust for inflation). The Trinity Study tested it against every 30 year window in US market history. It survived about 95 percent of them.

THE ONE IDEA TO REMEMBER

Your income is nowhere in the formula. The number is set entirely by what you SPEND. A person on 80 thousand and a person on 300 thousand who both live on 50 thousand need **exactly the same bucket**.

02 The rate

The part almost everybody gets wrong.

- Two people each save **24 thousand a year**. One earns 80, one earns 200. **Their buckets fill at identical speed.**
- But one lives on **56 thousand** and needs **1.4 million**. The other lives on **176 thousand** and needs **4.4 million**. **Same savings, a finish line three times further away. The higher earner loses.**
- This is why it is the **rate**, not the amount. **Saving does two jobs at once:** it fills the bucket faster and it narrows the tap you will need forever.
- Save 10 percent and you fund one year of freedom for every nine you work. **Save 50 percent and it is one for one.**

- **Years from zero at a 5 percent real return:** 10 percent saved is **51 years**, 30 percent is **28**, 50 percent is **17**, 70 percent is **8.5**.

03 Coasting

Four versions. Only the last one is built for someone in their twenties.

- **Lean.** A small bucket and a frugal life. Roughly half a million to a million.
- **Fat.** Keep spending as though you still work. Two and a half million and up.
- **Barista.** Leave full time work early, take a part time job for the health insurance, let it cover the gap the bucket cannot.
- **Coast. Fill the bucket early, then stop filling it forever.** You keep working to cover today's bills, but you never save another dollar. The rain finishes the job.

COAST, WITH REAL NUMBERS, AT 25

To hold **one million at 65** at a 7 percent real return you need about **67 thousand invested today and nothing after that**. Once, not every year. **That is one or two good corporate years, after which compounding does the work instead of you.**

04 The cracks

Where it actually breaks, stated rather than sold.

- **Sequence risk is the real killer.** A crash in your **first** withdrawal years sinks a plan whose average return was fine. Same money, different order, different outcome.
- **4 percent was built for 30 years.** Stop at 40 and you need 50. Most analysts drop to **3.25 to 3.5 percent**, which pushes the multiple from 25 up to about 30.
- **The rain has to be boring.** Broad index funds, near zero cost, decades untouched. **High cost and high variance is a different machine and it is not the one that compounds.** Fifty fills in one session cost **129 dollars of friction** before a single read was right or wrong.

THE LINE TO KEEP

FIRE is not a way to avoid work. It is a way to buy the option to stop. Its engine is a high savings rate, and a savings rate needs income, so wanting out and taking a job point at the same door. You just walk through it holding a paycheck for a while.

SOURCES & NOTE

Sources: The 4 percent rule comes from the Trinity Study, Cooley, Hubbard and Walz, Trinity University, 1998; Savings rate to years follows Mr Money Mustache, The Shockingly Simple Math Behind Early Retirement, 2012, at 5 percent real; Coast figures use a 7 percent real return, the long run US equity average after inflation. At 6 percent the number rises to about 97 thousand.

Educational, not financial advice. Every figure is arithmetic on stated assumptions, and the assumptions are the part that can be wrong.

Glossary

FIRE [FIRE](#) Financial independence, retire early. A savings rate strategy, not an investment product.

Financial independence [FI](#) Your investments cover your living costs without you working.

The 4 percent rule Withdraw 4 percent of the portfolio in year one, then adjust that dollar amount for inflation.

Safe withdrawal rate [SWR](#) The yearly draw a portfolio has historically survived. Lower it for a longer retirement.

Savings rate The share of take home pay you do not spend. The only lever that moves both sides of the equation.

Real return Return after inflation. A 10 percent gain in a 3 percent inflation year is a 7 percent real return.

Compounding Returns earning returns. It is slow, then it is not, and time is the input that matters.

CoastFIRE Enough invested that you can stop contributing forever and still land at full FI by 65.

BaristaFIRE Part time work, often taken for health insurance, covering the gap your portfolio cannot yet.

Sequence of returns risk The danger that poor returns arrive early in retirement, when the portfolio is largest.

Trinity Study The 1998 paper that backtested withdrawal rates across US market history.
